

GROWTH-INFLATION TRADE OFF

- Brent crude oil prices at over \$100 a barrel are set to impact domestic growth
- Costlier energy and supply disruptions could lead to higher prices this year
- As per the RBI, a 10% rise in crude oil prices could increase inflation by 50 bps and lower growth by 15 bps
- Conversely, a 10% fall in crude oil prices could lower inflation by 50 bps and raise GDP growth by 15 bps
- The food basket carries a 34.8% weight in CPI, with rain-fed crops accounting for 6.1%

PRICES ARE INCREASING AND GROWTH IS SEEN TO SLOW DOWN IN FY27

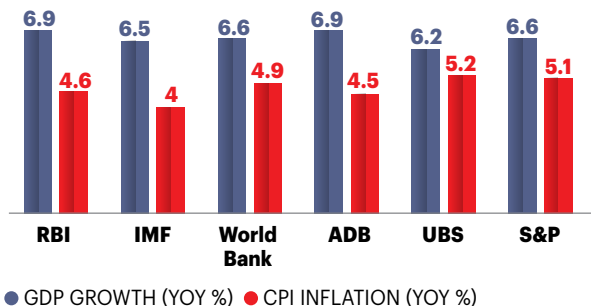


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travel, up from 35% in FY19. Remittances for investments in equity is another category that has more than doubled to 8.4% versus 3.1% in FY19, it says.

“India’s forex reserves are currently comfortable at \$690 billion, covering 11 months of imports; however, if the supply disruption extends for a few more weeks, it would warrant tangible measures,” the report warns.

Foreign trade is also under pressure with the ongoing blockade of the Strait of Hormuz. Merchandise exports

in April rose 13.8% to \$43.56 billion but the trade deficit was at a three-month high as the oil import bill surged 53% month on month to \$18.6 billion.

A report by YES Bank estimates that the measures to contain gold imports will help reduce import volumes to around \$420 tonnes this fiscal from 720 tonnes last fiscal.

The current account deficit, which was at 1.3% of the GDP in the December 2025 quarter, is seen to rise to 2% or more this fiscal. While it is worrying, analysts say it is